



**BAKER  
HUGHES**

|                                         |         |                                   |                                            |         |                  |                                 |                  |                       |                                           |                           |                          |           |             |                    |              |                     |           |
|-----------------------------------------|---------|-----------------------------------|--------------------------------------------|---------|------------------|---------------------------------|------------------|-----------------------|-------------------------------------------|---------------------------|--------------------------|-----------|-------------|--------------------|--------------|---------------------|-----------|
| Rpt Date 26/Oct/2006                    |         |                                   | Well Name/No Bilabri D3                    |         |                  | Section Name/No 12 1/4" hole #3 |                  |                       | Mud System SYN-TEQ (PARA)                 |                           |                          |           |             |                    |              |                     |           |
| Job# 1                                  |         | Spud Date 04/Oct/2006             |                                            |         | MD 2555.00 m     |                                 |                  | Progress 0.00 m       |                                           |                           | Present Activity Fishing |           |             |                    |              |                     |           |
| Operator Peak Petroleum Indust. Limited |         |                                   | Company Rep James Blackmon/Peter Vermeulen |         |                  | Contractor Dolphin Drilling Ltd |                  |                       | Contractor Rep Ally Tough / Terry Nanidis |                           |                          |           |             |                    |              |                     |           |
| Field/Lease Bilabri                     |         | Blk/Co/Parish OML - 122 / Nigeria |                                            |         |                  | Area Offshore                   |                  | Country/State Nigeria |                                           |                           | Rig BULFORD DOLPHIN      |           |             |                    |              |                     |           |
| Drilling Assembly                       |         |                                   |                                            | Casing  |                  |                                 | Volumes          | Pump Information      |                                           |                           |                          |           |             |                    |              |                     |           |
| Bit Gauge in                            |         | Mfr                               | Bit Model                                  |         | OD in            | ID in                           | Depth m          | bbl                   | Model                                     |                           | Liner in                 | Stroke in | Eff %       | Vol/Stk bbl        | Stk Rate SPM | Circ Rate USgal/min |           |
| 12 1/4                                  |         | HCC                               | PDC                                        |         |                  | 19 1/2                          | 166.20           | Total Hole            | Continental Ensco FA-1600                 |                           | 6 1/2                    | 12.00     | 97.0        | 0.1194             | 0            |                     |           |
| Drill Collars                           |         |                                   | Drill Pipe                                 |         |                  | 20                              | 18 3/4           | 199.58                | 1331.3                                    | Continental Ensco FA-1600 |                          | 6 1/2     | 12.00       | 97.0               | 0.1194       | 0                   |           |
| OD in                                   | ID in   | Length m                          | OD in                                      | ID in   | Length m         | 13 3/8                          | 12.415           | 829.50                | Active Pits                               | Continental Ensco FA-1600 |                          | 6 1/2     | 12.00       | 97.0               | 0.1194       | 0                   |           |
| 8                                       | 3 1/4   | 6.57                              | 5                                          | 4.276   | 925.47           |                                 | 12 1/4           | 2555.00               | 430                                       |                           |                          |           |             |                    |              |                     |           |
| 8                                       | 2 5/8   | 9.35                              | 5                                          | 3       | 158.56           |                                 |                  |                       | Tot Active                                |                           |                          |           |             |                    |              |                     |           |
| 8                                       | 2 3/4   | 27.29                             |                                            |         |                  |                                 |                  |                       | 1761.3                                    | Circulation Times         |                          |           |             |                    |              |                     |           |
| 8                                       | 2 13/16 | 9.05                              |                                            |         |                  |                                 |                  |                       | In Storage                                | Surface to Bit            |                          | min/stks  |             | Total System       |              | min/stks            |           |
|                                         |         |                                   |                                            |         |                  |                                 |                  |                       | 496                                       | Bottoms Up                |                          | min/stks  |             |                    |              |                     |           |
| Mud Properties                          |         |                                   |                                            |         | Max Ann Velocity |                                 |                  | Hole Information      |                                           |                           |                          |           |             |                    |              |                     |           |
| Property                                |         | Fluid Spec                        | 1                                          | 2       | 3                | AV Riser                        |                  | ft/min                | Standpipe Pressure                        |                           | 0 psi                    |           | Water Depth |                    |              |                     | 145.00 m  |
| Sample From                             |         |                                   |                                            | Reserve | Active Pit       | Active Pit                      | AV Casing        |                       | ft/min                                    | Hole Flow                 |                          | USgal/min |             | Riser Booster Rate |              |                     | USgal/min |
| Check Time                              |         |                                   |                                            | 09:00   | 09:30            | 23:30                           | AV Open Hole     |                       | ft/min                                    | Solids Analysis           |                          |           |             |                    |              |                     |           |
| MD m                                    |         |                                   |                                            | 2555.00 | 2555.00          | 2555.00                         | Vc Open Hole     |                       | ft/min                                    | Property                  |                          | 1         | 2           |                    | 3            | 4                   |           |
| TVD m                                   |         |                                   |                                            | 2554.00 | 2554.00          | 2554.00                         | Vc Drill Pipe    |                       | ft/min                                    | LGS %                     |                          | 5.36      | 7.96        |                    | 8.01         |                     |           |
| Bit Depth m                             |         |                                   |                                            | 0.00    | 0.00             | 1165.00                         | Min Ann Velocity |                       |                                           | LGS lb/bbl                |                          | 48.89     | 72.53       |                    | 72.99        |                     |           |
| Density ppg                             |         |                                   | 10.00-10.50                                | 10.10   | 10.15            | 10.15                           | AV Riser         |                       | ft/min                                    | HGS %                     |                          | 6.72      | 5.47        |                    | 5.51         |                     |           |
| Funnel Visc. sec/quart                  |         |                                   |                                            | 62.0    | 80.0             | 77.0                            | AV Casing        |                       | ft/min                                    | HGS lb/bbl                |                          | 98.88     | 80.55       |                    | 81.19        |                     |           |
| Test Temp degF                          |         |                                   |                                            | 85.0    | 95.0             | 95.0                            | AV Open Hole     |                       | ft/min                                    | Avg Dens Sol sg           |                          | 3.4895    | 3.2519      |                    | 3.2525       |                     |           |
| Rheol Temp degF                         |         |                                   |                                            | 120.0   | 120.0            | 120.0                           | Bit Information  |                       |                                           |                           |                          |           |             |                    |              |                     |           |
| PV cP                                   |         |                                   |                                            | 26      | 28               | 29                              | Size             |                       | 12 1/4 in                                 |                           |                          |           |             |                    |              |                     |           |
| YP lbf/100ft^2                          |         |                                   |                                            | 21      | 26               | 27                              | Hours On Bit     |                       |                                           |                           |                          |           |             |                    |              |                     |           |
| 10sec Gel lbf/100ft^2                   |         |                                   |                                            | 10      | 16               | 17                              | Bit Number       |                       |                                           |                           |                          |           |             |                    |              |                     |           |
| 10min Gel lbf/100ft^2                   |         |                                   |                                            | 17      | 30               | 30                              | BHA Number       |                       | 4                                         | Rheology                  |                          |           |             |                    |              |                     |           |
| HTHP Filtrate cc                        |         |                                   |                                            | 4.0     | 3.0              | 2.8                             | Depth In         |                       | m                                         | 600 RPM                   |                          | 73        | 82          |                    | 85           |                     |           |
| HTHP Cake in/32                         |         |                                   |                                            | 2.0     | 2.0              | 2.0                             | Bit RPM          |                       |                                           | 300 RPM                   |                          | 47        | 54          |                    | 56           |                     |           |
| HTHP Temp degF                          |         |                                   |                                            | 250.0   | 250.0            | 250.0                           | WOB              |                       | klbf                                      | 200 RPM                   |                          | 35        | 42          |                    | 44           |                     |           |
| HTHP Pressure psi                       |         |                                   |                                            | 500     | 500              | 500                             | Nozzles          |                       | 4x16:4x12                                 | 100 RPM                   |                          | 26        | 32          |                    | 33           |                     |           |
| Retort Water %                          |         |                                   |                                            | 23.0    | 22.0             | 22.0                            | Bit Hydraulics   |                       |                                           | 6 RPM                     |                          | 11        | 15          |                    | 16           |                     |           |
| Retort Base Fluid %                     |         |                                   |                                            | 6       |                  |                                 |                  |                       |                                           |                           |                          |           |             |                    |              |                     |           |

# ADVANTAGE Daily Drilling Fluids Report - 26



INTEQ

|                                         |  |                                            |  |                                 |  |                                           |  |
|-----------------------------------------|--|--------------------------------------------|--|---------------------------------|--|-------------------------------------------|--|
| Rpt Date 26/Oct/2006                    |  | Well Name/No Bilabri D3                    |  | Section Name/No 12 1/4" hole #3 |  | Mud System SYN-TEQ (PARA)                 |  |
| Job# 1                                  |  | Spud Date 04/Oct/2006                      |  | MD 2555.00 m                    |  | Progress 0.00 m                           |  |
| Operator Peak Petroleum Indust. Limited |  | Company Rep James Blackmon/Peter Vermeulen |  | Contractor Dolphin Drilling Ltd |  | Contractor Rep Ally Tough / Terry Nanidis |  |
| Field/Lease Bilabri                     |  | Blk/Co/Parish OML - 122 / Nigeria          |  | Area Offshore                   |  | Country/State Nigeria                     |  |
|                                         |  |                                            |  |                                 |  | Rig BULFORD DOLPHIN                       |  |

| Solids Control Equipment |   |                       |             |              |                     |                     |          |
|--------------------------|---|-----------------------|-------------|--------------|---------------------|---------------------|----------|
| Name                     | # | Mfr                   | Hours hours | Screen Sizes | Act Volume Lost bbl | Res Volume Lost bbl | Comments |
| CENTRIFUGE               | 1 | SWACO                 | 0.0         |              | 0.0                 | 0.0                 |          |
| CENTRIFUGE               | 2 | SWACO                 | 0.0         |              | 0.0                 | 0.0                 |          |
| DESANDER                 | 1 | SWACO                 | 0.0         |              | 0.0                 | 0.0                 |          |
| DESILTER                 | 1 | SWACO                 | 0.0         |              | 0.0                 | 0.0                 |          |
| MUD CLEANER              | 1 | SWACO                 | 0.0         | 2 x 210      | 0.0                 | 0.0                 |          |
| SHALE SHAKER             | 1 | Brandt                | 0.0         |              | 0.0                 | 0.0                 |          |
| SHALE SHAKER             | 1 | Derrick Equipments Co | 4.0         | 3 x 175      | 2.0                 | 0.0                 |          |
| SHALE SHAKER             | 2 | Brandt                | 0.0         |              | 0.0                 | 0.0                 |          |
| SHALE SHAKER             | 2 | Derrick Equipments Co | 4.0         | 3 x 175      | 2.0                 | 0.0                 |          |
| SHALE SHAKER             | 3 | Derrick Equipments Co | 4.0         | 2 x 200, 175 | 3.0                 | 0.0                 |          |
| SHALE SHAKER             | 3 | Brandt                | 0.0         |              | 0.0                 | 0.0                 |          |
| Total Volume Lost        |   |                       |             |              | 7                   | 0                   |          |

| Volumes       |                  |     |              |    |                      |                   |                 |        |
|---------------|------------------|-----|--------------|----|----------------------|-------------------|-----------------|--------|
| Additions bbl |                  |     | Losses bbl   |    |                      | Total Volumes bbl |                 |        |
| Mud Added     | Weight Materials |     | Downhole     | 12 | Left In Pit          |                   | Starting Volume | 2293.5 |
| Brine         | Water            |     | Cased Off    |    | Trip Losses          | 10                | Daily Additions | 5.2    |
| Base Fluid    | Product          | 5.2 | Left In Hole |    | Injected             |                   | Daily Losses    | 42     |
| Recycled      | Other            |     | Discharged   |    | Spill To Environment |                   | Ending Volume   | 2256.7 |
|               |                  |     | SCE          | 7  | Onshore Disposal     |                   | Net Change      | -36.8  |
|               |                  |     | Evaporation  | 4  | Returned             |                   |                 |        |
|               |                  |     | Other Losses | 9  |                      |                   |                 |        |
|               |                  |     |              |    |                      |                   | Total Active    | 1761.3 |
|               |                  |     |              |    |                      |                   | Total Reserve   | 496.0  |

| IADC Hours             |           |                        |      |                       |           |         |   |
|------------------------|-----------|------------------------|------|-----------------------|-----------|---------|---|
| Wireline Logs          | 8         | Miscellaneous          | 2    | Tripping              | 10        | Fishing | 4 |
| Primary Currency USD   |           | Secondary Currency     |      | Totals USD            |           |         |   |
| Daily Product Cost     | 6475.80   | Daily Product Cost     | 0.00 | Primary Product       | 478202.55 |         |   |
| Daily Tax              | 0.00      | Daily Tax              | 0.00 | Secondary Product     | 0.00      |         |   |
| Debit/Credit           | 0.00      | Debit/Credit           | 0.00 | Primary Engineering   | 30881.25  |         |   |
| Daily Engineering Cost | 900.00    | Daily Engineering Cost |      | Secondary Engineering | 0.00      |         |   |
| Total Daily Cost       | 7375.80   | Total Daily Cost       | 0.00 | Primary Total         | 509083.80 |         |   |
| Total Inventory Value  | 327207.80 | Total Inventory Value  | 0.00 | Secondary Total       | 0.00      |         |   |
|                        |           |                        |      | Deck Load             | 334101    | lb      |   |

| Products and Services    |          |       |                |          |          |      |           |       |                                     |                                      |  |
|--------------------------|----------|-------|----------------|----------|----------|------|-----------|-------|-------------------------------------|--------------------------------------|--|
| Product                  | Units    | Start | Transferred In | Received | Returned | Lost | Daily Use | Final | Active Ending Concentrations lb/bbl | Reserve Ending Concentrations lb/bbl |  |
| Oil Based Product        |          |       |                |          |          |      |           |       |                                     |                                      |  |
| CALCIUM CHLORIDE (97%)   | 25 kg    | 160   |                |          |          |      |           | 160   | 7.05                                | 6.48                                 |  |
| CARBO-GEL                | 50 lb    | 140   |                |          |          |      |           | 140   | 2.09                                | 2.80                                 |  |
| MIL-LIME                 | 25 kg    | 40    |                |          |          |      |           | 40    | 5.64                                | 6.39                                 |  |
| OMNI-COTE                | 55 USgal | 4     |                |          |          |      |           | 4     |                                     |                                      |  |
| OMNI-MUL                 | 55 USgal | 24    |                |          |          |      |           | 24    | 2.01                                | 0.83                                 |  |
| OMNI-PLEX                | 55 USgal | 24    |                |          |          |      | 4         | 20    | 1.26                                |                                      |  |
| OMNI-TEC                 | 55 USgal | 8     |                |          |          |      |           | 8     | 2.11                                | 1.94                                 |  |
| PARA-TEQ                 | 1 bbl    | 528   |                |          |          |      |           | 528   |                                     |                                      |  |
| Water Based Product      |          |       |                |          |          |      |           |       |                                     |                                      |  |
| BLACK MAGIC SF T         | 25 kg    | 120   |                |          |          |      |           | 120   |                                     |                                      |  |
| CAUSTIC SODA             | 25 kg    | 32    |                |          |          |      |           | 32    |                                     |                                      |  |
| MIL-BAR                  | 1000 kg  | 51    |                |          |          |      |           | 51    | 24.75                               | 8.52                                 |  |
| SAW DUST                 | 25 kg    | 29    |                |          |          |      |           | 29    |                                     |                                      |  |
| Xanthan Gum              | 25 kg    | 47    |                |          |          |      |           | 47    |                                     |                                      |  |
| LCM                      |          |       |                |          |          |      |           |       |                                     |                                      |  |
| CALCIUM CARBONATE - FINE | 25 kg    | 80    |                |          |          |      |           | 80    | 1.41                                |                                      |  |
| CALCIUM CARBONATE - MED  | 25 kg    | 80    |                |          |          |      |           | 80    | 1.69                                |                                      |  |
| KWIKSEAL - MEDIUM        | 25 kg    | 35    |                |          |          |      |           | 35    |                                     |                                      |  |
| MIL-PLUG FINE            | 25 kg    | 84    |                |          |          |      |           | 84    |                                     |                                      |  |
| MIL-SEAL MEDIUM          | 25 kg    | 60    |                |          |          |      |           | 60    |                                     |                                      |  |
| SOLUFLAKE F              | 50 lb    | 80    |                |          |          |      |           | 80    |                                     |                                      |  |
| SOLUFLAKE M              | 50 lb    | 80    |                |          |          |      |           | 80    |                                     |                                      |  |

|                                |                  |           |                 |               |             |                 |                 |        |
|--------------------------------|------------------|-----------|-----------------|---------------|-------------|-----------------|-----------------|--------|
| BHDF Fluids Rep                | BHDF Rep Phone   | Warehouse | Warehouse Phone | Coordinator   | Daily Cost  | Cumulative Cost | Inventory Value | Page 2 |
| Waboso Peter / Olayinka 'Kunle | 234-803-402-0440 | Onne      | 234-84-462609   | Lawson Ogaree | 7375.80 USD | 509083.80 USD   | 327207.80 USD   |        |

Any opinion and/or recommendation, expressed orally or written herein, has been prepared carefully and may be used if the user so elects, however, no representative or warranty is made by ourselves or our agents as to the correctness or completeness, and no liability is assumed for any damages resulting from the use of same.